Summing up

People respond to incentives. Human behaviour is not fixed; it changes when the incentives change. When policy changes, human behaviour changes.

The behaviour of politicians and officials is also not fixed; it changes when the incentives change. There is nothing innately Indian about malfunctioning civil servants, politicians, mindset, or low state capacity.

However, changing incentives should not be done in a simplistic way. When high-powered incentives are introduced, there is the danger of individuals pursuing those incentives to the exclusion of everything else. This can often result in unintended consequences.

When incentives are established based on a certain statistical measure, there is a greater risk that this measure will be tampered with.

While human beings mostly do well in understanding incentives and doing the best for themselves, the new field of ‘behavioural economics’ has documented many kinds of mistakes that human beings make in understanding information, risk and time.